

December 22, 2025

Dear Professor Barro,

We are pleased to submit our manuscript, **“Unbalanced Trade: Is Growing Dispersion from Financial or Trade Reforms?”** for consideration at the *Quarterly Journal of Economics*. We confirm that the paper is original, has not been published, and is not under review elsewhere.

The paper studies the striking rise in global trade imbalances from 1970 to 2019—the mean absolute deviation from balanced trade has roughly doubled—and asks whether this increase is driven by financial integration or reductions in trade barriers. We show that the rise in imbalances is primarily the consequence of declining **intra-temporal** trade barriers, rather than reductions in **inter-temporal** or financial frictions. Moreover, we demonstrate that this explanation is consistent with the evolving cross-country properties of business cycles, whereas a financial-integration explanation would imply far greater business-cycle asymmetries than observed.

The paper contributes both empirically and theoretically. Empirically, we develop a new decomposition that organizes the changing distribution of net and gross trade and business cycles across countries. Theoretically, we build a multi-country DSGE model that combines key elements of quantitative trade models (many countries, heterogeneous bilateral trade barriers) with international macroeconomic features (uncertainty, endogenous labor supply, capital accumulation, incomplete markets with non-contingent bonds, pricing-to-market, and gradual trade adjustment). The model delivers a rigorous, unified interpretation of the changing nature of business cycles (within and across countries) and international integration. It clearly shows the changing nature of business cycles is consistent with increased trade integration.

We have no conflicts of interest and can comply with the journal’s data and code availability requirements.

All correspondence may be addressed to me at **George.Alessandria@gmail.com**.

Thank you for considering our manuscript.

Sincerely,



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